

Fennwick — functional beverages, direct to consumer

The Problem

The functional drinks aisle is full of products making claims nobody can verify, at doses too low to do anything. A consumer who actually wants magnesium for sleep or electrolytes for training reads the label, finds 8% of a daily value, and buys it anyway because there is no better option on the shelf.

The brands know this. Low doses are cheaper and avoid regulatory scrutiny. The result is a category built on the gap between what the front of the can implies and what the back of the can says.

Our Solution

Fennwick sells four drinks at doses that match the published research, and prints the reasoning on the can.

Our sleep formulation contains 200mg of magnesium glycinate, which is the dose used in the trials it cites, rather than the 20mg that lets a competitor use the word "magnesium" on the front. It costs us more per unit and it is the entire product.

We sell direct, which is what makes the dose affordable: no retailer margin, no slotting fees, no distributor.

The Market

Functional beverages are a €14B category in Europe, growing around 9% a year. The direct-to-consumer share is small — under 4% — and that is both the opportunity and the constraint.

Our customer is 28 to 45, buys supplements already, and reads labels. We are not trying to convert the mass market.

Competition

The large beverage groups own the shelf and will keep it. Several D2C challenger brands exist in adjacent categories. Within functional drinks specifically, most direct sellers are single-product.

We do not have a technological moat. Anyone can formulate at a proper dose; most choose not to because retail economics punish it. Our protection is that a retail-first competitor cannot match our dose without breaking their own margin structure.

The Team

Iris Haaland spent six years in product development at a Nordic beverage group and left after a formulation she had worked on was cut to a third of its active dose for cost reasons. Peter Ilves ran growth at a D2C supplements brand through its first €10M.

Fourteen people.

Traction

- 31,000 customers acquired to date
- €7.2M revenue over the last twelve months, growing 4% month over month
- subscription share of revenue: 61%
- 12-month customer retention: 44%
- average order value €38, average customer lifetime value €166

Business Model

Direct e-commerce with a subscription option at a 15% discount. Gross margin is 58% after cost of goods and fulfilment — respectable for beverages and structurally capped by the fact that we are shipping liquid.

Customer acquisition cost is €71 and has risen from €48 over eighteen months as paid social has become more expensive. Against a €166 lifetime value, the ratio works but the trend does not, and we know it.

Go-To-Market

Paid social and search, plus a podcast sponsorship programme that produces our lowest acquisition cost and is difficult to scale. We have tested retail in two chains and stopped: the dose does not survive the margin.

Funding

We are raising €6M to expand into two more markets, build a second product line, and reduce dependence on paid acquisition through owned channels.